KAPASA MAKASA UNIVERSITY
BUSINESS ECONOMICS

1. The concept of Production Possibility Frontier is very important in Economics in the use of scarce resources in business as an economic model as it illustrates the problems of scarcity, choice and the opportunity cost of society's economic decisions.

   The following table shows a combination of maize and Soy beans that can be produced by Green farm in Kasama. Assume that maize and Soya beans are substitutes in production. (Let maize be on the x-axis).

Maize (Kgs)	Soy beans (Kgs)
0	1,500
2,000	1,475
4,000	1,400
6,000	1,200
8,000	900
10,000	0

   Required:

   (a) Graph the production possibility curve for this farm (with Soy beans on the y-axis)
   (b) Can this farm produce a combination of 5,000 Kgs of maize and 500 Kgs of Soy beans? What does this combination suggest about the use of this farm?
   (c) Can this farm produce a combination of 8,000 Kgs of maize and 1,200 Kgs of Soy beans?
   (d) What is the opportunity cost of expanding Soy beans production from 900 Kgs to 1,200 kgs per year, assuming the land is fully utilized?
   (e) What happens to the production possibility curve if the land of this farm is increased?

2. Scarcity and Choice are fundamental concepts in economics. Discuss these **Three (3)** concepts in relation to:
   i. The consumer;
   ii. The producer;
   iii. The government.